



Southern California Edison
Rosemead, California (U 338-E)

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Sheet 1

CUSTOMER PHYSICAL
ASSURANCE AGREEMENT

FORM 14-749

(To be inserted by utility)

Advice 2990-E

Decision _____

Issued by

Megan Scott-Kakures

Vice President

(To be inserted by Cal. PUC)

Date Filed Dec 30, 2013

Effective Jan 29, 2014

Resolution _____



**CUSTOMER
PHYSICAL ASSURANCE AGREEMENT**

This Physical Assurance Agreement ("Agreement") for Customers subject to Standby Service is entered into by and between _____ (*Customer's Name*) a _____ (*form of entity & state of registration*) ("Customer"), taking electric service at _____ (*Customer's electric service address*), under electric service account number _____ (*Customer's electric service account number*), Generator ID and/or Qualified Facility ID _____ and Southern California Edison Company ("SCE"), a California corporation. Customer and SCE are sometimes also referred to in this Agreement jointly as "Parties" or individually as "Party." In consideration of the mutual promises and obligations stated in this Agreement and its attachments, the Parties agree as follows:

1. APPLICABILITY AND INTENT

This Agreement is available to customers who are subject to Standby Service under Schedules S, TOU-8-S, or TOU-8-RTP-S. The purpose of this Agreement is to allow Customer to decline Standby Backup Service and be exempt from the Capacity Reservation Charge on the electrical loads served by a Generating Facility. To qualify for an exemption from the Capacity Reservation Charge, Customer agrees to install and maintain controls and equipment that will automatically prevent Customer's electrical Demand from exceeding the Firm Service Level established under the terms of this Agreement unless a Maintenance Outage has been scheduled with and authorized by SCE. Upon entering into this Agreement SCE may remove, replace, reduce, or otherwise utilize the electrical facilities used to provide service to Customer and Customer's full capacity requirements may not be able to be served until adequate facilities are installed or replaced.

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2. DEFINED TERMS

2.1 When initially capitalized, whether in the singular or in the plural, the terms used herein shall have the meanings assigned in this Agreement, in Schedules S, TOU-8-S, TOU-8-RTP-S, or in Rules 1 and 21 of SCE's tariffs.

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2.2 Firm Service Level (FSL): The maximum level of electric capacity measured in kilowatts (kW) that Customer may demand from SCE's electric system at any time other than during a scheduled and approved Maintenance Outage. The FSL is designated in Section 3.1 of this Agreement.

2.3 Applicable Generating Facility: All of the equipment and facilities that comprise Customer's electrical power generation facilities that are not exempt from Schedules S, TOU-8-S, or TOU-8-RTP-S charges and used by Customer to provide electric service to its loads.

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2.4 Requested Maintenance Demand (RMD): The maximum level of electric capacity measured in kW that Customer may demand from SCE's electric system to replace the capacity of Customer's Generating Facility during a Maintenance Outage.

2.5 Maintenance Outage (MO): An outage of a Customer's Generating Facility meeting the provisions of Schedules S, TOU-8-S or TOU-8-RTP-S, thus such an outage shall temporarily relieve the Customer's otherwise applicable obligation to limit the electrical demand placed on SCE's electric system to the FSL.

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2.6 Physical Assurance Separation System (PASS): All of Customer's relays, transformers, circuit breakers, wiring, cabinets, conduits and appurtenant equipment as required by SCE to cause all or a portion of Customer's electric load to be automatically disconnected from SCE's electrical system should Customer's electric Demand exceed its FSL.

**CUSTOMER
PHYSICAL ASSURANCE AGREEMENT**

3. FIRM SERVICE AND MAINTENANCE SERVICE DEMAND LEVELS

- 3.1 Customer's FSL shall be ____ kW. Customer's FSL may not be changed without SCE's prior written consent and amendment to this Agreement. Customer's FSL shall normally be equal to the Supplemental Contract Capacity (Supplemental Contract kW), but may be established as agreed by the Parties.
- 3.2 Compliance with the FSL requirements of this Agreement shall be determined by the values measured by SCE's 15-minute interval metering equipment located at the Point of Common Coupling between SCE and Customer.
- 3.3 Customer's RMD shall be ____ kW. Customer's RMD may not be changed without SCE's prior written consent and amendment to this Agreement. Customer's RMD shall not exceed the Nameplate Capacity of the Generating Facility, but may be established as agreed by the Parties.
- 3.4 SCE shall be under no obligation to serve unauthorized load on its system and shall not be required to provide electric service to Customer in amounts exceeding the FSL. Customer may request to increase or decrease the FSL designated in this Agreement through a written request to SCE to amend this Agreement. Requests to increase the FSL will be treated as a standard application for new or additional service and may require SCE to install or replace facilities within its electric system before such an increase can be granted.

4. SUMMARY AND DESCRIPTION OF CUSTOMER'S PHYSICAL ASSURANCE SEPARATION SYSTEM, ELECTRIC LOADS, AND GENERATING FACILITY

- 4.1 A general description of Customer's PASS, including a summary of its significant components, a written operational overview, a plot plan showing the location and physical relationship of the various devices used, and a single-line diagram showing how Customer's loads are connected and controlled by the PASS is provided forth in Appendix A.
- 4.2 A general description of Customer's Generating Facility including a summary of the significant equipment used, a single-line diagram showing the general arrangement of how Customer's Generating Facility and loads are interconnected with SCE's distribution system, and a plot plan showing the general placement of the generating facility and related components is provided in Appendix B.

5. TERM, TERMINATION, AND REQUIRED NOTICES TO SUCCESSORS

- 5.1 This Agreement shall become effective as of the last signature date in Section 19. The Agreement shall continue in full force and effect unless terminated pursuant to the terms of Section 5.2 or as otherwise agreed to by the Parties in writing.
- 5.2 This Agreement may be unilaterally terminated by SCE upon the occurrence of any of the following:
 - a. Customer fails to comply with any of the terms of this Agreement.
 - b. SCE notifies Customer that Customer's Generating Facility or PASS is out of compliance with the terms of this Agreement, and Customer fails to take all corrective actions specified in such notice within the time frame set forth in such notice.

**CUSTOMER
PHYSICAL ASSURANCE AGREEMENT**

- c. The electric service account through which Customer's Generating Facility is interconnected to SCE's Distribution System is closed or terminated.
- d. The agreement providing for the interconnected operation of Customer's Generating Facility with SCE's electric system is terminated.

5.3 During the term of this Agreement, Customer, prior to the sale or transfer of Customer's property or facilities that receive service through the electric service account to which Customer's Generating Facility is interconnected, and/or before Customer's electric service account is closed and transferred to another party, shall disclose in writing the existence and terms of this Agreement to any prospective successor property owner, tenant, or electric service customer and include in such notice a prominent statement that electric service to Customer's facilities is subject to the electrical demand limitations established in this Agreement and, as a result of such limitations, SCE may not be able to meet a successor's full electric service needs and that such electric service may be limited to the FSL established in this Agreement until SCE's electric system is reinforced or upgraded.

6. MAINTENANCE OUTAGE (MO) SCHEDULING REQUIREMENTS

- 6.1 Maintenance Service may be available to Customers who meet the provisions of SCE's Schedules S, TOU-8-S, or TOU-8-RTP-S. (T)
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- 6.2 During any period established as a MO, Customer's electrical demand may exceed the FSL established under Section 3.1 of this Agreement, up to a level equivalent to the sum of the FSL and RMD levels established pursuant to Section 3.1 and Section 3.3, respectively, of this Agreement.

7. DEMAND LIMITATION AND PHYSICAL ASSURANCE REQUIREMENTS

- 7.1 Customer shall provide, maintain, and operate all monitoring and control devices, facilities, and/or operational procedures required to allow Customer to fully perform its duties under this Agreement. Customer shall design, install and maintain its PASS facilities and wiring in a manner acceptable to SCE. Such equipment shall be equipped with locking or sealing devices that prevent and reveal tampering or modifications.
- 7.2 Beginning with the first monthly billing period following Customer's receipt of SCE's written acceptance of Customer's PASS facilities, Customer shall limit its electrical demand to the FSL established herein and ensure that its PASS facilities are operational at all times unless an MO is in effect.

**CUSTOMER
PHYSICAL ASSURANCE AGREEMENT**

- 7.3 If, for any reason, Customer's electrical demand exceeds the FSL at any time other than during a MO, Customer's PASS shall automatically and immediately disconnect all or a portion of Customer's electrical loads from SCE's electric system. If physical disconnection occurs, Customer shall not reconnect its electrical loads to SCE's electric system until its electrical demand level has been adjusted to a value less than the FSL.
- 7.4 The Parties shall develop and utilize a test protocol and conduct periodic tests to verify and demonstrate the correct and satisfactory operation of Customer's PASS.
- 7.5 Customer shall provide reasonable access to its premises and PASS facilities for SCE personnel, its contractors, or agents in order for SCE to be able to perform its duties and exercise its rights under this Agreement and SCE's tariffs.
- 7.6 SCE shall have the right to review, inspect, and approve the design, installation, and function of the Customer's PASS facilities prior to providing its acceptance, and at any other time during Customer's normal business hours. SCE may require Customer to make modifications to its PASS facilities at Customer's expense as SCE determines may be necessary to enable Customer to fully comply with its obligations under this Agreement. SCE's review and acceptance of such facilities shall not be deemed or construed as confirming or endorsing the Customer's design or as warranting the safety, durability or reliability or such systems. SCE shall not, by reason of such review or lack of review, be responsible for the operational adequacy or capabilities of such equipment. Should, at any time, Customer become aware that its PASS facilities are not fully operational or effective, Customer shall promptly notify SCE and make all necessary repairs or adjustments, or take all other corrective actions to return such facilities to full service.
- 7.7 Customer shall not modify or interfere with the operation of the PASS at any time. SCE shall have the right to obtain and review copies of Customer's records such as, but not limited to, operations and maintenance records, logs, or other information to review equipment availability, maintenance outages, circuit breaker and relay operations, or other events pertaining to Customer's PASS. In the event SCE determines that Customer has modified or interfered with the operation of the PASS so as to avoid its duties or obligations under this Agreement, SCE may terminate this Agreement and recover damages from Customer pursuant to Section 9.2 herein. Notwithstanding any termination of this Agreement pursuant to electrical demand, shall continue until such time as SCE is able to make alternate provisions satisfactory to SCE for operating those portions of SCE's electric system used to serve Customer's loads in a safe and reliable manner.
- 7.8 Notwithstanding any other provision of this Agreement, and as provided in SCE's electric service tariffs and rules, SCE may limit or disconnect or require the disconnection of the electric service Customer receives from SCE's electric system at any time, with or without notice, in the event of an emergency or to correct unsafe operating conditions. SCE may also limit or disconnect or require the disconnection of Customer's electric service from SCE's electric system upon the provision of reasonable written notice: 1) to allow for routine maintenance, repairs or modifications to SCE's electric system; or, 2) upon SCE's determination that Customer's PASS is not in compliance with this Agreement. In the event Customer's electrical service is so limited or disconnected, the Parties shall cooperate in good faith to minimize the duration and impact of such limitation.

**CUSTOMER
PHYSICAL ASSURANCE AGREEMENT**

- 7.9 If, at any time, Customer's Generating Facility experiences an unscheduled outage that results in SCE serving the loads regularly served by the Generating Facility (i.e., SCE provides Back-up Service or Back-up Service exceeds the established FSL), Customer shall be billed all applicable charges as set forth in SCE's Schedules S, TOU-8-S, or TOU-8-RTP-S including the Capacity Reservation Charge for that billing period, and shall no longer be exempt from the Capacity Reservation Charge in all future billing periods. (T)
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8. METERING AND BILLING:

Metering and billing requirements and procedures shall be as set forth in SCE's tariffs and rules.

9. DEFAULTS AND REMEDIES

- 9.1 If either Party fails to meet its material obligations under this Agreement, the other Party may terminate this Agreement; provided that prior to such termination the other Party must provide the defaulting Party with written notice stating: (a) the Party's intent to terminate; (b) the date of such intended termination; the specific grounds for termination; specific actions which the defaulting Party must take to cure the default, if any; and, (e) a reasonable period of time, which shall not be less than (10) calendar days, within which the defaulting Party may cure the default and avoid termination, except that such cure period shall not be applicable to SCE's termination rights set forth elsewhere in this Agreement. Except as otherwise provided in this Agreement, the termination of this Agreement shall not operate to discharge any liability which has been incurred by either Party prior to the effective date of such termination.

- 9.2 If Customer fails to meet its obligations to limit its electrical demand to the FSL, the resulting damages shall include: 1) the costs of repairing all damages to SCE's facilities and any collateral damages to other customers affected by Customer's failure to limit its electrical demand; and , 2) the estimated cost associated with the accelerated construction of facilities required in SCE's reasonable discretion to reliably and safely provide service to all customers on the affected portions of SCE's electric system (e.g., any cost of overtime hours for SCE's own resources, additional contract personnel, additional payments to contractors for expedited delivery of equipment and materials and premiums paid, if any, or to obtain necessary rights of way or permits) provided, however, if Customer's failure to limit its electrical demands to the FSL is due solely to an Uncontrollable Force as defined in Section 11, such failure shall not constitute a breach pursuant to this Section. SCE's estimated costs for the specification and construction of any facilities contemplated by this Section 9.2 shall be based on SCE's standard practices including, but not limited to, its standard safety practices, material and equipment specifications, established design criteria and construction procedures, labor agreements and applicable laws and regulations.

10. INDEMNITY

Customer shall indemnify and hold harmless SCE and its affiliates and their officers, agents, employees and assigns against all liabilities, damages, losses, costs, including attorney's fees (which shall include allocable costs of in-house counsel) and expenses, or any of them resulting from the injury or death of persons or damage to property due to Customer's acts or omissions under this Agreement.

**CUSTOMER
PHYSICAL ASSURANCE AGREEMENT**

11. UNCONTROLLABLE FORCES

For purposes of this Agreement, an "Uncontrollable Force" is any cause or act beyond the reasonable control of a Party and which by the exercise of due diligence by such Party is unable to prevent or overcome. In the event of the occurrence of an Uncontrollable Force which prevents a Party from performing any of its obligations under this Agreement such Party shall (a) promptly notify the other party; (b) be entitled to suspend performance of this Agreement, but such suspension shall be of no greater scope or longer duration than is strictly required as a result of the Uncontrollable Force; use its best efforts to mitigate the effects of such Uncontrollable Force, remedy its inability to perform, and resume full performance hereunder; keep the other Party apprised of such efforts on a continual (at least daily) basis; and, (e) provide written notice of the resumption of performance hereunder.

12. DISPUTE RESOLUTION

12.1 Any dispute that cannot be resolved between the Parties on an informal basis shall be settled by means of the dispute resolution procedures set forth in this Section 12. Either Party may invoke these dispute resolution procedures upon written notice to the other Party.

12.2 Promptly after receiving written notice that a dispute exists, the Parties shall hold a conference between an officer or designee, of each Party to seek resolution. If those two individuals cannot reach an agreement within a reasonable period of time, either Party may elect to submit the dispute to mediation in accordance with the American Arbitration Association Commercial Arbitration Rules and Mediation Procedures.

12.3 If the dispute is not resolved by the mediation, the Parties shall submit the dispute to the Commission for final resolution. If the relief sought cannot be awarded by the Commission, either Party may pursue litigation in the State of California, County of Los Angeles.

13. NOTICES

13.1 Any written notice, demand, or request required or authorized in connection with this Agreement ("Notice") shall be deemed properly given if delivered in person or sent by first class mail, postage prepaid, to the person specified below:

If to SCE: Southern California Edison Company

Attn: _____

Address: _____

City: _____

Phone: () _____

FAX: () _____

If to Customer: Customer Name

Attn: _____

Address: _____

City: _____

Phone: () _____

FAX: () _____

**CUSTOMER
PHYSICAL ASSURANCE AGREEMENT**

13.2 The Parties may also designate operating representatives to conduct the daily communications which may be necessary or convenient for the administration of this Agreement. Such designations, including names, addresses, and phone numbers may be communicated or revised by one Party's Notice to the other.

14. ASSIGNMENT

Customer shall not voluntarily assign its rights nor delegate its duties under this Agreement without SCE's written consent. Any such assignment or delegation by Customer without SCE's written consent shall be void. SCE shall not unreasonably withhold its consent to Customer's assignment of this Agreement. This Agreement will be binding on, enforceable by, and inure to the benefit of, the Parties hereto and their respective successors and permitted assigns.

15. NON-WAIVER

None of the provisions of this Agreement shall be considered waived by a Party unless such waiver is given in writing. The failure of a Party to insist in any one or more instances upon strict performance of any of the provisions of this Agreement or to take advantage of any of its right hereunder shall not be construed as a waiver of any such provisions or the relinquishment of any such rights for the future, but the same shall continue and remain in full force and effect.

16. GOVERNING LAW, JURISDICTION OF COMMISSION, INCLUSION OF SCE'S TARIFF SCHEDULES, DEFINED TERMS

16.1 This Agreement shall be interpreted, governed, and construed under the laws of the State of California as if executed and to be performed wholly within the State of California without giving effect to choice of law provisions that might apply the law of a different jurisdiction.

16.2 This Agreement shall, at all times, be subject to such changes or modifications by the State of California Public Utilities Commission (Commission) as it may from time to time direct in the exercise of its jurisdiction.

16.3 In addition to the specific terms and conditions provided under this Agreement, Customer's electric service shall at all times be subject to the terms and conditions set forth in the tariffs applicable to the electric service provided by SCE. Copies of such tariffs are available on the Internet at www.sce.com or by written request to SCE and are incorporated into this Agreement by this reference.

16.4 Notwithstanding any other provisions of this Agreement, SCE shall have the right to unilaterally file with the Commission, pursuant to the Commission's rules and regulations, an application for change in rates, charges, classification, service, tariffs or any agreement relating thereto.

17. AMENDMENTS AND MODIFICATION

This Agreement may be amended or modified only by a written agreement signed by both Parties or as provided in Section 16.2. SCE shall determine in its sole discretion whether prior Commission approval is required for such amendments or modifications.

**CUSTOMER
PHYSICAL ASSURANCE AGREEMENT**

18. ENTIRE AGREEMENT

This Agreement, including any incorporated tariffs and rules, contains the entire agreement and understanding between the Parties, their agents, and employees as to the subject matter of this Agreement. Each Party also represents that in entering into this Agreement, it has not relied on any promise, inducement, representation, warranty, agreement or other statement not set forth in this Agreement or in the incorporated tariffs and rules.

19. SIGNATURES

IN WITNESS WHEREOF, the Parties hereto have caused two originals of this Agreement to be executed by their duly authorized representatives. This Agreement is effective as of the last date set forth below.

(INSERT CUSTOMER'S NAME)

SOUTHERN CALIFORNIA EDISON COMPANY

By: _____
Name: _____
Title: _____
Date: _____

By: _____
Name: _____
Title: _____
Date: _____

**CUSTOMER
PHYSICAL ASSURANCE AGREEMENT**

APPENDIX A

DESCRIPTION OF CUSTOMER'S
PHYSICAL ASSURANCE SERVICE SEPARATION SYSTEM

(Provided by Customer)

This Description will normally include single-line and plot plan diagrams of Customer's PASS, plus a written description of the expected operating sequence of any automated controls. Enough information shall be provided to allow SCE to review and verify the correct and adequate operation of Customer's systems and reasonably determine if Customer can meet its obligations under this Agreement.

If Customer intends to use a manual operating procedure as a supplement to an automated PASS, the operating procedure documentation shall be included in this Appendix.

**CUSTOMER
PHYSICAL ASSURANCE AGREEMENT**

APPENDIX B

DESCRIPTION OF CUSTOMER'S GENERATING FACILITY

(Provided by Customer)

This description shall include the information contained in the Application for Interconnection of Customer's Generating Facility submitted to SCE, updated to reflect the actual facilities installed by Customer. Such information typically includes a description of the electrical characteristics of Customer's Generating Facility, a single-line diagram, and a plot plan showing the physical relationship of the Generating Facility within Customer's electrical system.